

Essential Insights: Week 9.1



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AI Strategy vs Digital Strategy

Key Distinction:

Digital strategy: Modernises processes, integrates data, improves efficiency and customer experience

AI strategy: Creates, embeds, and scales intelligence across the organisation

When AI Supports Digital: Enhances workflows (e.g., fraud detection, recommendation engines)

When AI Drives Transformation: Reshapes value creation, roles, and business models (e.g., AI-assisted coding, generative content platforms)

Core Lesson: Digital builds the foundation; AI determines how intelligently it operates

The AI-Driven Enterprise

Shift: From process-centric to decision-centric organisations

Sense-Think-Act Framework:

Sense: Gather data on changes

Think: AI analyses for optimal responses

Act: Automated real-time execution

Example: Flipkart's Address Intelligence — AI handles unstructured addresses for accurate, scalable deliveries

Outcome: Employees focus on improving AI; systems learn continuously

Digital Transformation Beyond Technology

True Transformation Requires:

Business Model Changes: How value is created/captured (e.g., Adobe's shift to subscription)

Cultural Shift: Experimentation, agility, growth mindset (e.g., Microsoft)

Operating Model Redesign: Agile teams, faster decisions, integrated data flows (e.g., Domino's Pizza)

Common Pitfall: Technology focus without organisational alignment leads to failure

Key Enabler: Strong leadership and strategic vision

Evolution of Digital Frameworks: SMAC → AMPS → AI-First

SMAC (Social, Mobile, Analytics, Cloud): Enhanced connectivity and customer engagement (e.g., Starbucks)

AMPS (Analytics, Mobile, Platform, Social): Platform ecosystems and intelligence (e.g., Uber)

AI-First: Intelligence as the foundational layer — adaptive, predictive, continuously improving systems (e.g., Siemens digital twins)

Strategic Shift: AI moves from add-on to core design principle

The Strategic Role of Data

Mindset Change: Data from operational by-product to strategic asset

Activation: Curated, integrated, embedded in decisions (e.g., HDFC Bank predictive analytics)

Data Network Effects: More usage → smarter models → better experiences → more data (e.g., Zomato)

Advantage: Cumulative, self-reinforcing competitive edge through continuous learning

The Virtuous Cycle & Flywheel Thinking

Virtuous Cycle: Data → Better AI Models → Improved Products → More Data (e.g., Reliance Jio ecosystem)

Flywheel Effect: Self-reinforcing loops create economies of learning and Data Moats (e.g., Tesco Clubcard)

Dynamic Capabilities: Continuous adaptation and resource reconfiguration

Lesson: Focus on feedback loops for sustainable advantage rather than one-off projects

AI Capability Stack

Integrated Layers for Success:

Data: High-quality, consolidated inputs

Models: Advanced analytics and ML

Infrastructure: Scalable cloud processing

Talent: Bridging technical and business expertise

Governance: Transparency, compliance, responsible deployment

Example: HSBC's financial crime detection

Key: Weakness in any layer undermines the whole

Build vs Buy vs Partner

Strategic Choices:

Build: Core differentiators — full control, IP protection, custom integration (high investment)

Buy: Standard functions — speed, lower cost (e.g., document processing)

Partner: Emerging tech/expertise — collaboration for agility

Mature Approach: Hybrid ecosystem combining all three

AI Use Case Portfolio Strategy

Balanced Portfolio:

Core: Optimise existing operations (e.g., DHL route optimisation)

Adjacent: Expand value/engagement (e.g., Sephora virtual try-on)

Transformational: Redefine business models (e.g., John Deere precision agriculture)

Management: Evaluate, scale successes, align with strategy for short- and long-term value

Enabling Technologies & Operations

Cloud: Backbone for scalable compute, storage, and deployment (e.g., Airbus satellite analysis)

Modern Data Stack: Lakes, warehouses, lakehouses, real-time pipelines (e.g., Deliveroo)

API Economy: Modular integration and ecosystem participation

MLOps: Continuous monitoring, retraining, and learning to combat drift (e.g., Zillow, LinkedIn)